

What strategies are competitors using?

Your competitors are evolving. You must track their strategies—pricing, innovation, or customer engagement—to stay competitive.

How do weaknesses expose you to threats?

Weaknesses amplify external risks. Outdated technology, poor financial management, or inefficiencies can leave you vulnerable. Strengthen these areas to stay resilient.

7.6 Staying Ahead: Porter's Five Forces Model

The Five Forces Model was created by Harvard Business School professor Michael Porter in 1979. By examining the main competitive forces in an industry, including the threat of new entrants, the bargaining power of buyers and suppliers, the threat of substitutes, and the intensity of competitive rivalry, businesses can gain valuable insights into their industry's attractiveness and profitability.



This deeper understanding of the Five Forces Model enables organisations to make informed decisions, identify areas for improvement, and redefine their strategy to enhance their competitive position in the market. The Five Forces Model helps to anticipate industry shifts, mitigate risks, and leverage opportunities for sustainable growth.

